

MARKET ANALYSIS

\$200,000 Per Door in Wausau: What a 2020-Vintage Multifamily Sale Reveals About Secondary Market Pricing

A \$15M sale of a 75-unit Wisconsin property shows how new supply and basis discipline are setting the floor in smaller markets.

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A source-grounded Light Tower Insight. The complete note follows.

The Apartments at Riverlife overlook the Wisconsin River. That is a pleasant fact for the residents. For the capital markets, the more revealing number is what the building sold for: \$15 million for 75 units, or \$200,000 per door.

That price per unit is not a headline in coastal markets. In Wausau, Wisconsin, it is a data point worth examining closely. The property was built in 2020, which means it is new enough to command a premium over the aging stock that dominates most secondary markets. It also means the seller, Riverlife Wausau LLC, likely developed or acquired the asset near the peak of the last cycle, when construction costs were elevated and cap rates were compressed. The buyer, a Wisconsin-based investor, is stepping in at a moment when the repricing of multifamily has largely run its course in primary markets but remains unevenly distributed in smaller metros.

The transaction matters because it tests a question that owners and lenders across the Midwest are quietly asking: What is a stabilized, recently built apartment property worth when the local economy is not booming, but the basis is defensible?

The answer, at least in this case, is \$200,000 per door. That number is not cheap. It is not expensive. It is the price at which a buyer can underwrite a reasonable return without relying on rent growth that may not materialize. The buyer is not paying for a story about future appreciation. It is paying for a building that was constructed five years ago, has 72,177 rentable square feet, and sits in a market where new supply is limited and demand is steady but not surging.

The seller is not capitulating. It is monetizing a basis that was set when rates were lower and construction financing was easier to obtain. The buyer is not speculating. It is acquiring a cash-flowing asset at a price that leaves room for operating expenses to rise and interest rates to stay where they are. That is the kind of trade that happens when the market has stopped guessing about the direction of rates and started pricing assets on current income.

The capital behind this deal is local. The buyer is a Wisconsin-based investor, not a national institution or a REIT. That is typical for secondary-market multifamily transactions. Local capital has a structural advantage in smaller metros: it knows the market, it can underwrite the tenant base, and it

does not need to deploy large sums quickly. The lender, if there is one, is likely a regional bank or a credit union that knows the borrower and the asset. The debt market for this kind of deal is not the CMBS market or the agency market. It is the relationship-driven lending that still exists in communities where bankers and borrowers have known each other for years.

That is both a strength and a constraint. Local lenders are less likely to pull back during a downturn, but they are also less likely to offer aggressive leverage. The buyer in this transaction is probably putting down 35 to 40 percent equity, which is higher than what a primary-market deal would require. That equity cushion is what makes the deal work in a higher-rate environment. It also means the buyer is taking less risk, but earning a lower levered return.

The broader pattern is worth watching. Secondary-market multifamily transactions are picking up, but they are not driven by distress. They are driven by basis convergence. Sellers who bought or built before 2022 are realizing that the window for selling at a premium is narrowing. Buyers who sat on the sidelines during the rate shock are now willing to transact, but only at prices that reflect current debt costs. The gap between bid and ask is closing, not because sellers are panicking, but because both sides have adjusted their expectations to a new interest rate regime.

For owners of similar assets in secondary markets, the implication is straightforward: if your building was built after 2018 and you want to sell, the market is open, but the price is set by what a local buyer can finance, not by what a national investor once paid. For lenders, the signal is that new-vintage multifamily in smaller metros is financeable, but the loan-to-value ratio will be lower than it was three years ago. For buyers, the lesson is that patience has been rewarded, but the window for acquiring assets at a discount is narrowing as the bid-ask spread compresses.

The Wisconsin River will still flow past The Apartments at Riverlife tomorrow. The capital that just changed hands will flow somewhere else. That is the nature of the market. The question for everyone else is whether their asset can command a similar price, or whether the basis they need is no longer the basis the market will accept.

SOURCES

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